

Get 'Er Done

Here are the steps necessary to form the simple value and simple momentum portfolios.

Simple Value

1. Identify investable universe; we generally eliminate micro-cap firms.
2. Using the most recent financial data for each firm in the universe, calculate the following:
 - a. EBIT = Earnings before interest and taxes.
 - b. TEV = Total enterprise value. TEV is the sum of the firm's market capitalization (stock), debt, and preferred stock, minus the firm's cash value.
3. For all firms in the universe, calculate EBIT/TEV.
4. Rank all firms and buy the top decile. Equal weight the firms selected.
5. Rebalance *annually*.

Simple Momentum

1. Identify investable universe; we generally eliminate micro-cap firms.
2. For all firms in the universe, calculate the firm's cumulative return over the past 12 months, ignoring the return from the last month. This is the momentum variable.
3. Rank all firms on momentum, and buy the top decile. Equal weight the firms selected.
4. Rebalance *monthly*.

Allocation

1. At the end of each month, ensure allocation is 50 percent in Simple Value, and 50 percent in Simple Momentum.

An often-overlooked detail is that the value portfolio is formed annually, while the momentum portfolio is formed monthly. We provide tools for DIY investors to manage these portfolios at our website: AlphaArchitect.com. If readers are